

Alakh N. Sharma, Professor and Director, Institute for Human Development (IHD), says labour reforms, particularly the implementation of the Labour Codes, have been a contentious issue. “One of the most fiercely opposed provisions is the higher threshold for retrenchments without government approval,” he says.

Take Amazon workers in India. Last year, according to media reports, the workers at the company’s Haryana warehouse said they were denied bathroom breaks and were overburdened with work. Or gig workers, who rush through traffic in blistering heat and incessant rain to meet our daily needs within guaranteed time. In the formal sector, too,

employees are increasingly complaining of overwork and burnout.

In a high-pressure environment, advancing labour reforms poses a significant challenge for governments, as it is nearly impossible to satisfy all stakeholders.

An attempt at balancing interests of employers and employees was made when the 29 central labour laws were codified into four labour codes—the Code on Wages, the Code on Social Security, Occupational Safety, Health and Working Conditions Code, and the Industrial Relations Code. While these were passed by Parliament in 2019 and 2020, implementation continues to be delayed amid stiff opposition from

some states and trade unions even though they are a mix of labour reforms and worker protection measures.

The new codes include provisions that would enable women to work at night, raise the threshold for retrenchments without government approval from 100 to 300 workers, and cut down on compliances—measures critics see as anti-worker. But they have also introduced provisions for social security for gig workers and a proposal to cap allowances at 50% of the salary to increase the provident fund contribution.

While over 31 states and Union territories have published the draft rules needed to notify the codes, the actual implementation has not taken off. With this

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LABOUR REFORMS IN STATES AND UTs

Parliament enacted the four Labour Codes in 2019 and 2020 but they have not been notified. Several states are now amending their own laws to implement some of these provisions

PROVISION	NAME OF CODE	NUMBER OF STATES AND UTs THAT HAVE IMPLEMENTED IT
Threshold of Industrial Disputes Act (From 100 to 300)	Industrial Relations Code	17
Threshold for Factories Act [From 10 to 20 (with power) and 20 to 40 (without power)]	Occupational Safety, health and Working Conditions Code	17
Fixed Term Employment (FTE)- Industrial Employment Standing Order (IESO)	Industrial Relations Code	17
Allowing Women to work in night shifts	Occupational Safety, health and Working Conditions Code	18
Compounding of Offences	All four Codes	17
Enhancing quarterly overtime hours limit (from 75 up to 125 hours)	Occupational Safety, health and Working Conditions Code	12

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